

Fieldwork Report

Organizational Analysis of MLC Infra

Course: Introduction to Management (Introdução à Gestão)

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1. General Information

Company: MLC Infra

Headquarters: Curitiba, Paraná, Brazil

Industry: Heavy construction and infrastructure (highways, sanitation, hydroelectric plants, transmission lines)

Workforce: ~1,200 employees

Annual revenue: ~BRL 500 million

Legal type: Privately held company (capital fechado), part of the JMalucelli Group

Interview:

- Interviewee: Ricardo Malucelli, Executive Director at MLC Infra
 - Format: Online (Google Meet, recorded and transcribed)
 - Date: May 20, 2026
 - Duration: ~42 minutes
 - Complementary written questionnaire: May 22, 2026
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2. Introduction

MLC Infra is a Brazilian heavy-construction firm specialized in large-scale infrastructure projects. It belongs to the JMalucelli Group, a traditional Paraná-based conglomerate with diversified operations in finance, insurance and infrastructure. Although MLC Infra also delivers public works, its core focus is on private contracts, particularly highway construction, sanitation, hydroelectric and industrial projects. The company also operates indirectly in the concession market through a partnership with three other construction firms and a financial vehicle,

holding active concessions on federal highways BR-364 in Rondônia and BR-381 in Minas Gerais, plus a public school construction concession in Paraná.

This report analyzes MLC Infra as a real organization through the lens of the topics discussed in the Introduction to Management course. The aim is to identify how the four classical administrative functions (planning, organizing, directing and controlling) are operationalized in a heavy-construction company, how its organizational culture and stakeholder relations shape strategic decisions, and how the firm positions itself in terms of sustainability and ESG. Evidence comes from a 42-minute video interview with Ricardo, a director and civil engineer with over a decade in the company, complemented by a written questionnaire covering culture, workforce, stakeholders, ESG, operational processes, quality, deadlines and competitive positioning.

3. Company Profile

MLC Infra is classified as a privately held limited company (sociedade anônima de capital fechado) and ranks as a **mid-to-large construction firm** by Brazilian market standards. Its 1,200-employee headcount and BRL 500 million annual revenue place it below the largest tier (Odebrecht, Andrade Gutierrez, Camargo Corrêa historically) but solidly within the second tier of national contractors.

The firm operates primarily in heavy infrastructure: **highways, sanitation, hydroelectric plants, transmission lines, airports and ports**. Although it serves both public and private clients, its present strategic emphasis lies in private contracts, especially in mandates from the new highway concessionaires that won the six concession lots auctioned in Paraná in recent years. According to Ricardo, the company's current strategic priority is securing **large contracts above BRL 700-800 million**, particularly in highways, ferries, ports, and airports.

Founded as part of the broader JMalucelli ecosystem, MLC Infra benefits from group-level credibility, capital access and a long-term institutional reputation. Its competitive narrative is anchored in **tradition, decision-making agility, trust and the solidity of the controlling group**, rather than on technological differentiation, which Ricardo openly identifies as an area where the firm trails competitors.

4. Operational Process

The end-to-end operational process at MLC Infra was mapped during the interview through the lens of a typical infrastructure project. Once a contract is awarded, an

integrated workflow is triggered under pressure of an immediate start, usually imposed by the client. The main phases are:

1. **Mobilization:** appointing the Contract Manager (Gerente de Contrato), key engineering leads (production, planning, safety, administration, warehouse, maintenance) and renting facilities for the local office and worker accommodation
2. **Setup:** procuring uniforms, contracting an occupational health clinic for PGR and PCMSO documentation, contracting meal providers, transport, and IT infrastructure
3. **Kick-off:** signing the contract, parameterizing the ERP, projecting cash flow and assessing the negative-balance window
4. **Equipment and labor mobilization:** transporting machinery, setting up the maintenance workshop, hiring workers, integrating them and configuring electronic timesheet systems
5. **Procurement:** opening purchase requests for stock and direct application, contracting subcontractors and equipment lessors
6. **Topography and execution:** site layout by the topography team, followed by earthworks, drainage, paving, complementary works and signaling
7. **Quality and measurement:** quality testing at the end of each construction stage, monthly measurements to invoice the client and pay subcontractors
8. **Cost tracking:** the Contract Manager reconciles actual production, consumption and unit costs against the original bid to answer the CEO's recurring question: *"in this project, which service makes us the most money and which loses the most?"*
9. **Handover and closing:** delivering the contractual scope, executing financial closure, receiving the Definitive Completion Certificate and formalizing the Technical Acquis with the engineering council (CREA)

A typical mid-to-large project lasts **2 to 5 years**. Earthworks tend to be the riskiest phase due to soil conditions and rainfall. External factors that frequently extend the schedule include environmental licensing, land expropriation within the right-of-way, utility network relocation (water, sewage, electricity, fiber, gas) and interface dependencies with other contractors hired by the same client.

When asked about delivery reliability, Ricardo stated that **MLC Infra delivers 100% of its contracts on time when external factors are excluded**. Scope changes are common in the sector and are formally accommodated through

contractual amendments (aditivos), with negotiated adjustments to price and schedule based on the original quantity sheet.

5. Clients, Suppliers and Stakeholders

Clients are predominantly private, with a strong concentration in highway concessionaires operating in Paraná. The firm also serves industrial clients (factories, terminals) and occasional public contracts.

Main suppliers are concentrated in three critical inputs:

- **Diesel** (largest expense): Ipiranga, Shell, Unipetro and Petrobras, with daily price quoting and dynamic switching to the lowest offer
- **Cement**: strategic partnership with Votorantim
- **Steel**: strategic partnership with Gerdau, supplemented by alternative producers

Ricardo emphasized that **no single supplier carries critical disruption risk**, due to the standardized nature of the main inputs and the availability of multiple sources.

The **stakeholder map** is broader than the typical client-supplier dyad. The interviewee identified the following critical groups: shareholders, clients/contractors, employees, suppliers and service providers, regulatory bodies, employer and labor unions, highway users, and host communities surrounding the construction sites. This breadth reflects the dual nature of heavy construction as both an economic activity and a public-good provider, particularly in concessioned highways where end users (drivers) are indirect but politically relevant stakeholders.

6. Workforce and Human Resources

The MLC Infra workforce is organized in two clearly distinct populations: **corporate** and **field**. The headquarters in Curitiba, known internally as the Central Office, concentrates senior leadership, engineering coordination, commercial, supply chain, equipment, legal, HR and safety functions. Field operations are organized around each project site, with a hierarchical structure led by the Contract Manager and supported by production engineers, planning engineers, safety engineers, administrative staff and machine operators.

Most key positions in both populations are held by **civil engineers**, with academic training reinforced by extensive on-site experience. Ricardo himself, a civil engineer from PUC Paraná with a postgraduate degree in project management, illustrates the dominant profile.

A notable cultural and operational feature is the very **low turnover** at the corporate level, with an average tenure of approximately **12 years**. The interviewee summarized this dynamic in a phrase that captures the company's relationship with its people: *"whoever stays, wears the shirt; whoever leaves, comes back soon."* Field crews, due to the temporary nature of construction sites, are more mobile, but the firm actively retains and transfers top-performing administrative, technical and operator teams to new projects.

When asked how he learned to manage, Ricardo attributed approximately **90% to practice and 10% to formal study**, emphasizing that responsibility and weekly accountability drive faster learning than academic instruction. This reflects a broader cultural pattern in the company where on-the-job formation is valued above credentialing.

MLC Infra is also a clear example of a **family-controlled business**. The firm belongs to the broader JMalucelli Group, and multiple members of the Malucelli family occupy executive positions, including the interviewee himself. Decision-making at the holding level remains heavily concentrated in the family, while operational management is professionalized through long-tenured engineers and managers. This dual structure (family governance combined with professional management) is a recurring pattern in established Brazilian business groups and an important variable to keep in mind when interpreting the firm's strategic conservatism and its emphasis on tradition and credibility.

7. Administrative Functions (Fayol Framework)

The four classical administrative functions formulated by Henri Fayol (1916) (planning, organizing, directing and controlling) were explicitly investigated during the interview. MLC Infra's practice maps cleanly onto this framework.

Planning is conducted on a project-by-project basis, with a horizon defined by each contract's duration (2 to 5 years for mid-to-large works, longer for concessions). At the corporate level, planning consolidates project-level cash flows and assesses the firm's overall financial exposure. A distinctive practice is the inclusion of **financial expense within the project cost**: when a contract is projected to operate with negative cash flow for a sustained period, the cost of

capital required to bridge the deficit is calculated at the market rate (approximately 1% per month) and embedded in the original bid. This integrates strategic and operational planning with financial discipline.

Organizing mirrors a hybrid structure. The corporate headquarters in Curitiba follows a functional hierarchy, with a CEO (Diretor-Presidente), a Technical Director (Diretor Técnico, responsible for project execution), a Supply and Equipment Director, and a Commercial Director. Below this layer sit the area managers (administrative, legal, safety, commercial, budgeting). Project sites, in turn, are organized as semi-autonomous units, each with its own Contract Manager and full operational structure. This division allows the corporate center to focus on portfolio-level governance and support while empowering site leadership to make on-the-ground decisions, a textbook application of the decentralization principle.

Directing is characterized by what Ricardo called "**active management**": a culture where everyone from the owner to the flag-waving worker on site is expected to do their part on top of a well-defined plan. The firm values **agility in decision-making** as a key competitive differentiator. Leadership style is described as formal, disciplined and conservative, consistent with the analytical profile of its engineering workforce.

Controlling operates through formal monthly executive reports prepared by each project site, consolidating production, cost and quality indicators. Corporate leadership meets monthly with site teams to review variances against budget. Cost overruns trigger immediate corrective action. When input prices escalate sharply (as happened with diesel during the recent geopolitical shock, when the price rose from R\$5.80 to R\$7.80 per liter), the firm immediately quantifies the impact and formally alerts clients. The firm also maintains an ISO 9001-aligned Quality Management System with formal indicators across customer satisfaction, regulatory infractions, accident frequency and severity, emissions, schedule adherence, and service-level profitability.

8. Organizational Culture and Climate

Although the interview was conducted remotely and direct observation of the workplace was not possible, the interviewee provided a detailed description of the cultural environment. The MLC Infra culture rests on **four explicit pillars**:

1. **Ethics and credibility**: transparency in long-term partnerships with clients, suppliers and employees

2. **Discipline and efficiency:** discipline as the vehicle of effectiveness, supporting deadline rigor and operational excellence
3. **Quality and pride:** continuous improvement combined with valuing company history and team camaraderie
4. **Sustainability:** environmental commitment and on-site safety as drivers of long-term infrastructure development

The internal climate is described as **formal, conservative and disciplined**, reflecting the analytical profile of the engineering-dominated workforce. The low turnover already noted reinforces this stability. Hierarchical layers are well-defined, decision rituals are formalized through monthly executive reports and ERP-driven dashboards, and the company maintains the symbolic and operational standards of a traditional Brazilian engineering firm.

9. Challenges and Future Outlook

When asked about the main current challenges, Ricardo identified three:

1. **Qualified labor scarcity:** the most critical bottleneck, particularly for skilled site labor in a sector that requires 1,200+ workers and is constantly mobilizing crews across geographies
2. **Input price volatility:** illustrated by the diesel shock that imposed roughly R\$2-3 million in unanticipated costs on a single project
3. **External adverse conditions:** primarily climate, which can extend earthworks duration well beyond projections

A self-critical observation by the interviewee is worth emphasizing: he openly stated that the firm **lags competitors in adopting new technologies and operational procedures**. This is consistent with the conservative cultural profile and represents a strategic vulnerability in a sector where competitors are increasingly experimenting with free-flow tolling, AI-based traffic monitoring and automated equipment.

Future strategic priorities include securing large contracts (above R\$700-800 million) in highways, ferries, ports and airports, continuing the close partnership with concessionaires in Paraná, and expanding the concession portfolio through the four-construction-firm consortium with its financial arm.

10. ESG and Sustainability

MLC Infra holds two formal certifications: **ISO 9001** (quality) and **PBQP-H** (a Brazilian habitational quality program). In practice, the firm implements a fuller Integrated Management System aligned with the principles of ISO 14001 (environment) and ISO 45001 (occupational health and safety), tracked through training, campaigns, records and indicators.

Socially, the firm channels its community efforts through the **Joel Malucelli Institute**, which sponsors cultural, sporting, educational and welfare projects. The interviewee explicitly identified **three Sustainable Development Goals (SDGs) as MLC's ESG pillars**:

- **SDG 8**: decent work and economic growth
- **SDG 10**: reduced inequalities
- **SDG 16**: peace, justice and strong institutions

This ESG profile is consistent with the firm's nature as an infrastructure builder: its activity generates direct employment, fosters local economies and delivers public-good infrastructure, making the social dimension the most tangible expression of its sustainability commitment.

11. Theory-Practice Integration

The MLC Infra case provides a rich illustration of multiple management theories discussed in class.

The firm's structure and rigorous use of formal procedures, certifications and hierarchical authority align with **Weber's rational-legal bureaucracy**, particularly the emphasis on written rules, technical qualification (civil engineering as a hiring filter) and impersonal application of standards.

The **Fayolist framework** of administrative functions is operationalized almost textbook-style, with explicit planning rituals, a clear organizational chart, active directing and a robust monthly control cycle.

Taylorist principles of **scientific management** appear in the firm's use of the ABC investment curve to prioritize cost-reduction efforts, in the systematic time-and-cost benchmarking against the original bid, and in the standardization of operational procedures.

The **human relations school**, traced back to Mayo and the Hawthorne Studies, finds an echo in the firm's emphasis on retention, on the 12-year average tenure at the corporate level, and on the cultural narrative of "wearing the shirt." Active management, as described by Ricardo, is consistent with the post-Hawthorne

understanding that leadership presence and the symbolic recognition of effort matter as much as formal control.

Finally, **stakeholder theory** (Freeman, 1984) is reflected in the breadth of the firm's stakeholder map and in its explicit recognition of unions, regulators, communities and end users as critical groups requiring active management.

12. Conclusion

MLC Infra is a mature, traditional and disciplined heavy-construction firm whose competitive position rests on financial solidity, decision-making agility and the institutional credibility of the JMalucelli Group. Its administrative practice illustrates a textbook implementation of Fayol's four functions adapted to a project-based business model, where each construction site operates as a semi-autonomous unit under tight corporate oversight.

The firm's main strengths (operational discipline, low turnover, robust stakeholder management) are balanced by self-recognized weaknesses, particularly in technological adoption. Its ESG profile, anchored in SDGs 8, 10 and 16, reflects an authentic, infrastructure-driven understanding of sustainability rather than a marketing-driven ESG narrative.

For a first-semester management student, the case offers a compelling demonstration that classical management theory remains highly relevant in capital-intensive, project-based industries, where the rigor of planning, organizing, directing and controlling continues to determine competitive outcomes.